

street construction contractors industry moved from a ranking of 8 to 138, while coal mining moved from 14 to 165.

Many external and often uncontrollable factors influence the profitability of industries and firms within those industries. Often the presence of high numbers of profitable firms within an industry attracts more and more people to the industry, which can have a dampening effect on profits. Changes in consumer preferences can also affect profits. So can the actions of our government. If it had an energy policy that favored the use of coal, perhaps the number of sole-proprietorship coal mining businesses would not have dropped from 717 to 76 in just eight years. Note that only 34.2 percent of the 76 coal mining businesses made a net profit. But in spite of this, sole proprietors in this business earned an average net income of \$196,618. Obviously a minority of coal mining operations owners ignore industry trends and standards, and many of these people have been rewarded for their tenacity and contrary beliefs about the coal industry. Many successful business owners have told us that they enjoy “short periods of rough times” in their chosen industries because they weed out much of the competition. This seems to be the case in the coal mining industry. The 34.2 percent of the businesses in the industry that were profitable had a net income of approximately \$600,000.

TABLE 8-1
RANKINGS OF SELECTED CATEGORIES OF SOLE
PROPRIETORSHIPS ACCORDING TO THE PERCENTAGE
WITH NET INCOME¹: 1984 VS. 1992